

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/nvidias-crypto-business-dries-up-worrying-investors-1534456595>

TECH

Nvidia's Crypto Business Dries Up, Worrying Investors

Shares of chip maker drop after hours despite robust sales and profits for latest quarter

By Micah Maidenber

Updated Aug. 16, 2018 at 7:21 pm ET



NVIDIA computer graphic cards on display at a retail store in San Marcos, Calif., earlier this month. MIKE BLAKE/REUTERS

Nvidia Corp. NVDA **-4.16%** ▼ reported robust sales and profits during its second quarter, but warned that revenue from products geared toward cryptocurrency mining would be sharply weaker than expected.

The chip maker previously anticipated cryptocurrency-specific products would contribute around \$100 million in revenue during the quarter, but those products produced just \$18 million in sales, Chief Financial Officer Colette Kress said.

“Whereas we had previously anticipated cryptocurrency to be meaningful for the year, we are now projecting no contributions going forward,” Ms. Kress said.

Shares in Nvidia fell 3.3% in after-hours trading as the company also forecast revenue for the current quarter short of analysts' expectations.

The company is best known for developing chips used in everything from supercomputers to video-game systems. Shares of the company's stock have more than quadrupled over the past two years, in part because Nvidia has developed artificial-intelligence products for the fast-growing data-center sector. The company has also developed a technology platform to support self-driving cars.

For its quarter ending July 29, profit almost doubled to \$1.1 billion, or \$1.76 a share. Excluding certain costs, the chip maker earned \$1.94 a share, surpassing the average analyst estimate of \$1.85 a share, according to FactSet.

Revenue jumped 40% to \$3.12 billion, slightly beating the \$3.11 billion expected by analysts.

Overall, Nvidia reported revenue related to gaming rose 52% to \$1.8 billion, a total that was almost 3% higher than analysts predicted. Nvidia revenue rose in the segment despite softer sales for Nintendo's Switch device, which uses the company's chips. During the three months ending in June, Nintendo Co. reported selling 1.88 million consoles, down from 1.97 million a year ago.

Nvidia said its data-center business, its fastest-growing segment, booked \$760 million in sales, up 83% from a year earlier. Analysts polled by FactSet predicted \$744 million for the segment. The company's chips have been in demand as companies like Microsoft Corp. and Amazon.com Inc. have invested in their data-center infrastructure.

Nvidia said it expects revenue of \$3.25 billion during its third quarter, less than the \$3.34 billion average analyst estimate on FactSet.

Corrections & Amplifications

Nvidia's chips have been in demand from companies such as Microsoft Corp. An earlier version of this article incorrectly called the company Microsoft Inc.

Write to Micah Maidenberg at micah.maidenberg@wsj.com

Appeared in the August 17, 2018, print edition as 'Nvidia's Crypto Business Dries Up'.

Micah Maidenberg is a reporter covering space for The Wall Street Journal, writing about companies ranging from SpaceX and Blue Origin to Boeing and start-ups. He frequently reports about the National Aeronautics and Space Administration, the Pentagon and Federal Aviation Administration in his role, tracking the intersection of...

Follow

